

Procure Space ETF

SPCX NASDAQ

Buy	\$141.50 ▲ 0.45%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.87T
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SPCX: Space ETF Grinds Higher on SpaceX Halo Effect

WHAT HAPPENED

- SPCX ticked up 0.45% to \$141.50 — the 5th straight up day, quietly grinding higher on decent volume (~55M shares). The tape says accumulation, not euphoria. The driver: Alphabet's early SpaceX stake reportedly ballooned 100x to \$94B, which re-rates the private space market and lifts every public name attached to it.
- But there's a crack under the surface — Rocket Lab dropped 6% and Intuitive Machines fell 5% after SpaceX flagged its Iridium deal to the FCC. Translation: SpaceX is muscling into competitors' turf, and the FCC filing signals regulatory scrutiny is coming. Since SPCX holds both SpaceX-adjacent names AND competitors, this is a mixed bag.

WHY IT MATTERS

The bullish options flow (put/call ratio of 0.52 — meaning traders are buying nearly 2 calls for every put, a bet on upside) plus unusual call buying at the \$140 and \$142 strikes tells me institutions expect a breakout above \$145 in the next month. But here's the nuance: SPCX is an ETF, so it's really a proxy for the entire space sector — meaning it doesn't need any single stock to work, it just needs the *theme* to keep working. With SpaceX's private valuation now dragging the whole complex higher, and NASA about to launch a new telescope (halo effect for the sector), the flywheel is spinning. The risk is concentration — if SpaceX consolidates power (like the Iridium move), smaller names in the ETF get crushed, which caps upside even as the "theme" wins.

POLICY & POLITICAL WATCH

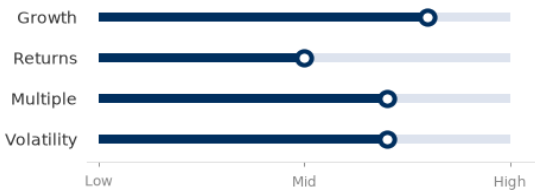
The big political tailwind: the FY2027 defense budget being debated in Congress includes a proposed ~\$30B for Space Force — up from \$29B last year — and the Golden Dome missile defense initiative is a direct catalyst for space-based sensor and launch companies in this ETF. Watch the NDAA (National Defense Authorization Act) markup in September; if space allocations survive reconciliation, that's a direct revenue pipeline for SPCX holdings like L3Harris, Iridium, and Rocket Lab. The headwind to watch: FCC scrutiny of spectrum allocation (the Iridium/SpaceX filing) — if the FCC starts blocking deals to preserve competition, it slows the sector's M&A wave, which has been a big driver of stock re-ratings.

IS IT EXPENSIVE?

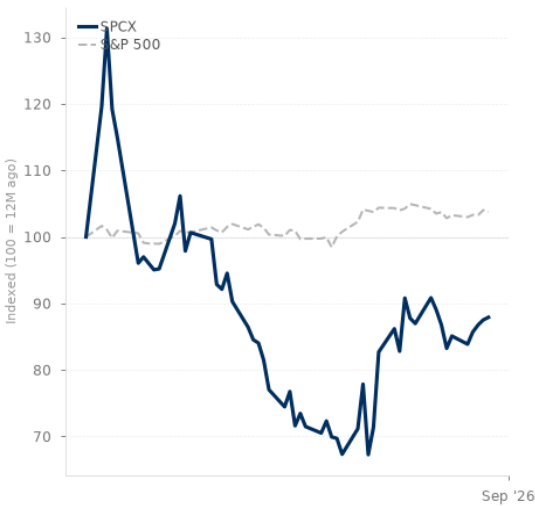
Key Data

Price (USD)	\$141.50
12M Price Target	\$165.00
Upside / (Downside)	+16.6%
Market Cap	\$1.87T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$150.00	\$144.00	\$132.00
6 Months	\$175.00	\$155.00	\$125.00
1 Year	\$210.00	\$165.00	\$115.00
2 Years	\$260.00	\$195.00	\$100.00
5 Years	\$400.00	\$275.00	\$90.00
10 Years	\$650.00	\$400.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communications Services (+1.42%) leading — that's Alphabet, Meta, satellite comms all catching a bid, which directly helps SPCX since satellite/comms names are top holdings. Consumer Discretionary also strong on IPO-market optimism, which supports the SpaceX IPO narrative.

COOLING OFF: Materials (-0.09%) and Consumer Staples weak — classic risk-on rotation, money leaving defensives.

ROTATION WATCH: Money is rotating INTO growth/theme trades (comms, discretionary) and OUT of defensives — that's a green light for thematic ETFs like SPCX. The Alphabet/SpaceX story reignited "private tech unicorn" excitement, which flows through to space names.

RELATED PLAY: If space keeps running, the picks-and-shovels plays are the second-order winners — think semiconductor names supplying satellite chips (like Onsemi, MACOM) and defense primes with space divisions (LMT, NOC) that don't move as violently.

WHO'S WINNING IN THIS SPACE?

- RCLB (Rocket Lab): Despite today's 6% drop, still a sector leader YTD on Neutron rocket progress and DoD contracts — the pullback is a competitive worry, not a fundamental one.
- LUNR (Intuitive Machines): Down 5% today but has been a NASA lunar contract winner — moves violently on mission news.

SPCX CONTEXT: SPCX is grinding higher while its component stocks are volatile — that's the ETF working as designed (diversification smooths the ride). It's lagging the biggest single-name winners but also avoiding their crashes, which makes it the better risk-adjusted way to play the theme.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$132-138 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: NASA/DoD budget cuts >15% or a major launch failure across top holdings

Hedging: Pair with a short on individual overheated space names like RCLB